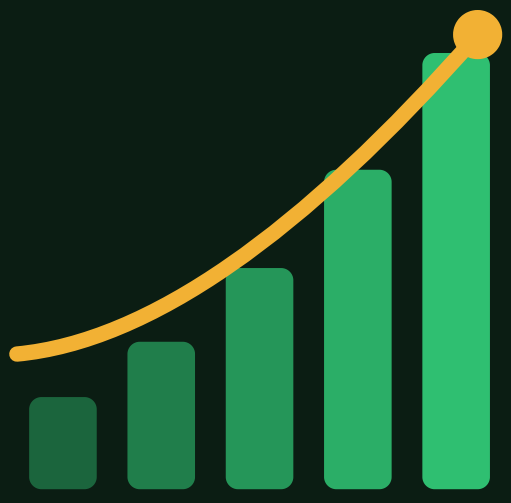
MONEY MADE SIMPLE · GUIDE + CALCULATORS

Start Investing With $100 a Month

Which account to open first, what to buy, what it costs, and how to put it on autopilot. Plain English, no stock picks, no hype.

Read in ~1 hour | Account-by-account order | 5 calculators | No jargon



Edition 1.0 · US accounts · 2026 limits

Educational content. Not investment advice.

START HERE

What's inside

You don't need a lot of money or a finance degree to start investing. You need the right account, a simple fund, a low fee and an automatic transfer. This guide gets you all four.

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The calculators

Investing-Starter-Calculators.xlsx works in Excel, Google Sheets and Numbers. Yellow cells are inputs. Tabs: **Order Checklist**, **Growth** (what regular investing might grow to), **Fee Drag** (what a fund's fee costs over time), **401k Match** (how much free money you're getting or missing), **Roth vs Traditional** and **Contributions** (track this year's deposits against the limits).

PLEASE READ

This guide is general education, not investment, tax or legal advice, and it doesn't know your situation. Investing involves risk, including losing money. Returns used in examples are assumptions for illustration, not predictions or promises. Contribution limits and tax rules are for the US and change; this edition uses 2026 figures, so check IRS.gov for the current year. Nothing here is a recommendation to buy a specific security. We're not paid by any company mentioned.

CHAPTER 1

Are you ready? Three checks first

Investing is for money you won't need for at least five years. Before you start, make sure investing won't push you into expensive debt the first time something goes wrong.

1. **No high-interest debt growing faster than investments could.** A credit card at 25% APR costs you 25% a year, every year, guaranteed. No investment reliably beats that. Pay those off first, with one exception: always take an employer 401(k) match (Chapter 2).
2. **A starter emergency fund.** Many people start with $500 to $1,000 in a separate savings account, then build toward 3 to 6 months of essential costs. Without it, a surprise bill means selling investments at a bad time or borrowing on a card.
3. **A monthly amount you can keep up.** $100 every month for years beats $1,000 once and then nothing. Pick an amount you won't need to stop. $25 or $50 is a fine start.

Low-interest debt? You can do both

For debts with lower rates (many car loans, federal student loans, a mortgage), it's common to invest while paying them on schedule. There's no single right answer; it depends on the rate and how you feel about debt. A rough rule many people use: below about 5%, investing alongside is reasonable; above about 8%, paying it down first usually wins; in between is a judgement call.

> **WHERE THE $100 COMES FROM**
>
> If you don't have a spare $100 yet, it usually comes from one of three places: a cancelled subscription or two, a cap on weekly spending, or a debt that just got paid off (keep making the payment, to yourself). Then automate it so it leaves before you see it.

What investing is (in one paragraph)

When you buy a fund, you own tiny slices of hundreds or thousands of companies (or bonds). As those companies earn money and grow, your slices tend to become worth more over long periods, though with big ups and downs along the way. You're not trying to guess which company wins. You're owning nearly all of them, cheaply, for a long time.

CHAPTER 2

The order: where each dollar goes first

A common order of priorities. It's a guideline, not a law, but it puts the highest-value moves first. Work down it; you don't need to finish one step to the last dollar before thinking about the next.

1. **401(k) or 403(b) up to the full employer match.** If your employer matches contributions, that match is part of your pay. Not taking it is turning down money. (Use the 401k Match tab.)
2. **Pay off high-interest debt.** Credit cards, store cards, payday loans. Anything above roughly 8% to 10%.
3. **Emergency fund: 3 to 6 months of essential costs** in a high-yield savings account. More if your income is irregular.
4. **An IRA (Roth or Traditional).** Lots of fund choice, low costs. For 2026 you can contribute up to $7,500 ($8,600 if you're 50 or older), across all your IRAs combined.
5. **More in the 401(k)** beyond the match. The 2026 employee limit is $24,500 (higher if 50+).
6. **A regular (taxable) brokerage account** for anything beyond that, or for goals before retirement.

STARTING WITH $100 A MONTH?

If your employer offers a match, your first $100 goes to the 401(k) through payroll, up to whatever earns the full match. If there's no match (or no 401(k)), open a Roth IRA and set up a $100 automatic monthly contribution. That's it. That's the whole first step.

Got an HSA?

If you have a high-deductible health plan, a Health Savings Account can be worth a look: contributions can be tax-deductible, growth is untaxed, and withdrawals for qualified medical costs are tax-free. Many people slot it in after the 401(k) match. Check your plan's fees and fund options.

CHAPTER 3

The accounts, explained

An account is the container. What you buy inside it (Chapter 4) is separate. Picking the right container is mostly about taxes.

Account	Who opens it	Tax treatment	Good to know
401(k) / 403(b)	Your employer offers it; you join through payroll.	Traditional: tax break now, taxed later. Many plans also offer a Roth option.	Limited fund menu; check fees. Match may "vest" over time.
Roth IRA	You, at any brokerage.	No tax break now; qualified withdrawals in retirement are tax-free.	Income limits apply. You can take out your *contributions* (not earnings) any time without tax or penalty.
Traditional IRA	You, at any brokerage.	Possibly tax-deductible now; taxed when withdrawn.	Deductibility depends on income and whether you have a workplace plan.
Taxable brokerage	You, at any brokerage.	No special break; you pay tax on dividends and on gains when you sell.	No limits, no withdrawal rules. Good for goals before retirement age.

Roth vs Traditional: the one question

Do you expect your tax rate to be higher now, or in retirement?

- **Lower now than later** (early career, lower income, expect to earn more) → **Roth** usually wins: pay the tax at today's low rate.
- **Higher now than later** (peak earning years) → **Traditional** usually wins: take the break now, pay a lower rate later.
- **No idea** → splitting between both is a perfectly reasonable hedge.

If tax rates are the same now and later, both come out exactly equal. The **Roth vs Traditional** tab shows this with your own numbers.

Roth IRA income limits (2026)

The amount you can contribute directly to a Roth IRA phases out between about **$153,000 and $168,000** of modified adjusted gross income for single filers, and **$242,000 to $252,000** for married couples filing jointly. Above that, ask a tax professional about options. Confirm current figures at IRS.gov.

IRA contributions for a year can be made until the following April tax deadline. Roth earnings are tax-free after 59½ once the account is 5+ years old (see IRS Publication 590-B).

CHAPTER 4

What to actually buy

Opening the account is step one. Money sitting in it as cash isn't invested. You have to buy something, and for most beginners, simple is best.

SIMPLEST

Target-date fund

One fund, picked by the year you expect to retire (e.g. a "2065" fund). It holds a mix of stock and bond index funds and gets more cautious automatically as that year approaches.

SIMPLE

Total market index fund

Owns nearly every public company in the US (or the world, for a "total world" fund). Add a bond index fund if you want a steadier ride.

STILL SIMPLE

Three-fund portfolio

US stock index + international stock index + bond index, in percentages you choose and rebalance once a year.

Index funds, ETFs and mutual funds

- **An index fund** follows a list of companies (an index) instead of paying a manager to pick. That keeps costs low, and over long periods most actively managed funds have trailed their index after fees.
- **ETF vs mutual fund** is mostly a wrapper difference. ETFs trade like a stock during the day; mutual funds trade once a day and often allow automatic investing in exact dollar amounts. Both can be index funds.
- **In a 401(k)**, look down the menu for a target-date fund or an index fund with a low expense ratio (Chapter 5). If your plan automatically put you in something, check what it is.

How to check a fund in two minutes

- [ ] What does it hold? (Look for "index" and what it tracks.)
- [ ] Expense ratio: ideally well under 0.20% for an index fund
- [ ] Any sales charge ("load") or account fee? Avoid both
- [ ] For target-date funds: is the year about when you'll retire?

WHAT THIS KIT DOESN'T DO

We don't recommend individual stocks, crypto, options or anything that needs watching daily. Those aren't needed to build long-term wealth, and they're where most beginners lose money. If you want to dabble, many people cap it at a small slice (say 5%) of their investments, money they could lose entirely.

CHAPTER 5

Fees: the small number that costs the most

A fund's **expense ratio** is the percentage of your money it charges every year. It looks tiny. Over decades it isn't, because the fee comes out of the money that would have kept growing.

```
0.04% on $10,000 = $4 a year   |   1.00% on $10,000 = $100 a year
```

Example: $200 a month for 30 years

Assume the investments themselves earn 7% a year before fees (an assumption for illustration, not a forecast).

Fund's yearly fee	Ending value	Lost to fees vs. 0.04%
0.04% (a typical broad index fund)	$242,077	—
0.20%	$234,581	$7,496
1.00% (common for actively managed funds or some advisers)	**$200,903**	**$41,174**

Same deposits ($72,000 in total), same market. The only difference is the fee, and it's worth about $41,000. Try your own numbers on the **Fee Drag** tab.

Other fees to watch

- **Account or maintenance fees:** most large brokerages charge none for standard accounts.
- **Trading commissions:** most large brokerages now charge $0 to trade stocks and ETFs online.
- **Sales loads:** a percentage taken when you buy or sell some mutual funds. Avoid.
- **Advice fees:** often around 1% of your balance a year for a human adviser. Can be worth it for complex situations, but it's the same drag as above. Robo-advisers usually charge less (often around 0.25%). For a simple plan, a target-date fund does a similar job inside the fund.
- **401(k) plan fees:** look for your plan's annual fee disclosure, and pick the lowest-cost funds on the menu.

CHAPTER 6 · ABOUT 30 MINUTES

Open the account and automate it

Choosing where to open an IRA or brokerage account

- [ ] No account fees and no minimum to open
- [ ] Low-cost index funds or ETFs available, with $0 commissions
- [ ] Automatic recurring investments (ideally into the fund itself, not just cash)
- [ ] Fractional shares, so $100 buys exactly $100 of a fund
- [ ] SIPC membership (protects against the brokerage failing, not against market losses)

Large, long-established brokerages such as Fidelity, Charles Schwab and Vanguard all meet most of these for standard accounts. Compare their current terms yourself; we're not affiliated with any of them.

Step by step

1. **Open the account** (choose "Roth IRA" or "Traditional IRA" specifically; a general "brokerage account" is the taxable kind). Have your ID, Social Security number, employer details and bank details ready.
2. **Link your bank** and make your first contribution. Choose the tax year if asked.
3. **Invest the cash.** Search for your chosen fund and buy it. This is the step people forget: money transferred in sits as cash until you buy.
4. **Set up the automatic plan:** a monthly transfer from your bank, and an automatic investment into the fund, the day after payday.
5. **Name a beneficiary.** Two minutes, and it keeps your account out of a long legal process if the worst happens.

For your 401(k)

Log in to your benefits portal, set your contribution percentage (at least enough for the full match), choose your funds, and turn on automatic annual increases if offered (for example, +1% a year). You'll barely notice it, and it compounds into a much bigger habit.

> **THE WHOLE SYSTEM**
>
> Automatic transfer → automatic investment → low-cost index or target-date fund → check once or twice a year. That's genuinely all it takes.

CHAPTER 7

What $100 a month can grow into

Nobody knows future returns. So here's $100 a month at three assumed average yearly returns, to show the range. Real returns vary a lot year to year, and some years are negative.

After	You put in	At 4% a year	At 6% a year	At 8% a year
10 years	$12,000	$14,725	$16,388	$18,295
20 years	$24,000	$36,677	$46,204	$58,902
30 years	$36,000	$69,405	$100,452	$149,036
40 years	$48,000	$118,196	$199,149	$349,101

Monthly contributions, monthly compounding, no fees or taxes, no inflation adjustment. Illustrations only; not a prediction or a promise of any return.

Two lessons. **Time does most of the work:** in the later decades, growth adds far more than your deposits do. And **raising the amount matters:** the Growth tab lets you add a yearly increase (say 3%), which makes a big difference over decades.

When the market falls (it will)

Historically, stock market drops of 10% or more have come roughly every couple of years on average, with bigger crashes from time to time. If you invest for decades, you will see several. What to do:

- **Keep the automatic investment running.** Your $100 buys more fund shares when prices are low.
- **Don't sell to "wait it out".** Many of the best days come right after the worst ones, and they're impossible to time.
- **Check less often.** Once or twice a year is plenty.
- **If a drop would keep you up at night,** your mix may be too aggressive. Adjust it calmly (more bonds, or an earlier target-date year) rather than selling everything.
- **Money needed within about five years** doesn't belong in stocks. Keep it in savings.

CHAPTER 8

FAQ

Is $100 a month even worth it?

Yes. It builds the habit and the system, and the table on page 9 shows it adds up. You can raise the amount any time; the setup stays the same.

Should I wait for the market to drop before starting?

Nobody can reliably predict that. Investing a fixed amount every month ("dollar-cost averaging") takes the guessing out of it.

What if I need the money?

That's what the emergency fund is for. With a Roth IRA, your contributions (not earnings) can be withdrawn without tax or penalty, which is a backstop, not a plan. Early withdrawals from a 401(k) or Traditional IRA usually mean tax plus a 10% penalty, with some exceptions.

What happens to my 401(k) if I change jobs?

It's yours (the vested part). You can usually leave it, move it to the new employer's plan, or roll it into an IRA. Avoid cashing it out.

I'm self-employed, or my job has no 401(k). Now what?

Start with an IRA. Self-employed people can also look at a SEP IRA or Solo 401(k), which allow much higher contributions.

Should I use a robo-adviser?

It's a reasonable option if you want everything picked and rebalanced for you. Compare its yearly fee with simply holding a target-date fund, which does a similar job.

Do I need to pick stocks or watch the news?

No. Broad index funds already own the winners, whoever they turn out to be.

How do taxes work in a regular brokerage account?

You may owe tax on dividends each year and on gains when you sell. Gains on investments held over a year usually get a lower tax rate. Your brokerage sends the forms you need.

Is this advice for my situation?

No. It's general education. For personal advice, look for a fee-only fiduciary financial planner, who is paid by you rather than by commissions.

PRINT ME

My one-page investing plan

Date: _____ Review again on: _____

Ready check	
High-interest debt (over ~8%) paid off or on a plan	☐ yes
Starter emergency fund in place ($ _____)	☐ yes
Monthly amount I can keep up: $ _____	☐ set

Account	Where	$ / month	Fund I'm buying	Expense ratio
401(k) / 403(b) (to the match: ___%)				
Roth / Traditional IRA				
HSA				
Taxable brokerage				
Total				

Set-up checklist	
Account opened	☐
Bank linked, first contribution made	☐
Cash actually invested in the fund	☐
Automatic monthly transfer + investment on day: _____	☐
Beneficiary named	☐
401(k) automatic yearly increase turned on	☐

When the market drops 20%, I will...

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KEEP IT ALL RUNNING

The rest of the system

Investing works best on top of a budget that frees up money every month and debts that are shrinking. If you want the whole set, the toolkit has it.

FIND THE $100

The 20-Minute Budget

A weekly spending number and an automatic plan for bills, savings and goals. Guide + spreadsheet.

$12

Investing Kit buyers: code **INVEST5** for $5 off.

EVERYTHING

The Money Made Simple Toolkit

All five kits: Bill Cut, 20-Minute Budget, Credit Report Audit, Debt-Free Date Planner and this investing kit.

$39

Already bought one? Email us your receipt and we'll send a code for the difference.

Find both at [your store link]. Educational content only, not investment advice.